

OPENING A NEW CHAPTER

It has been a year since the new Companies Ordinance came into operation. The Companies Registry describes the transition to the new regime and highlights some of the more commonly raised issues arising from the implementation of the new legislation

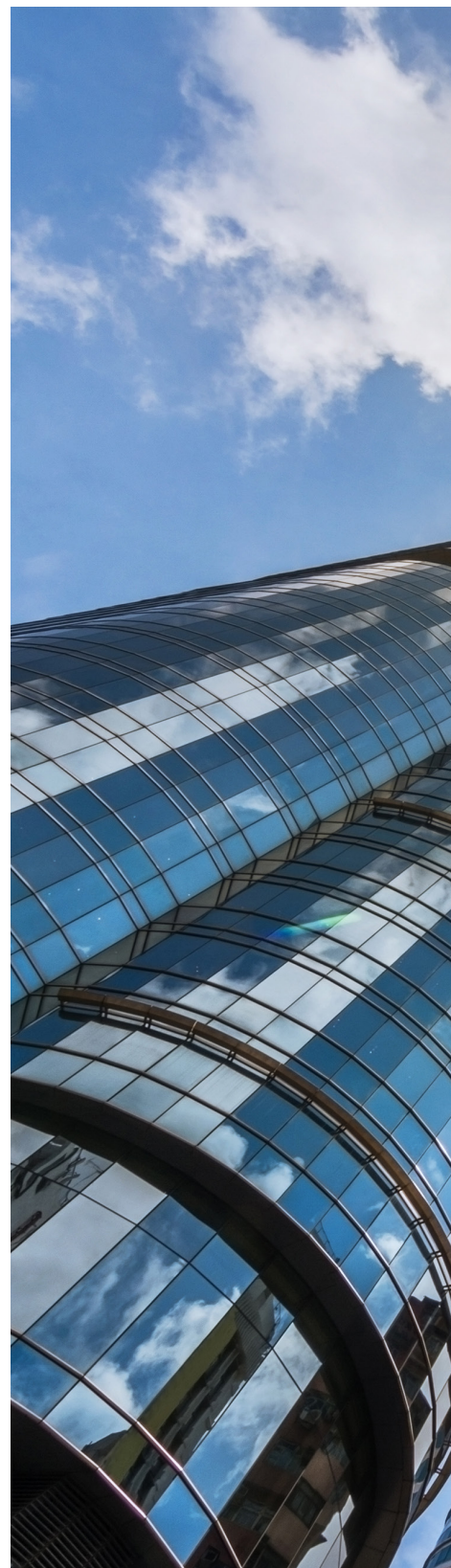
The new Companies Ordinance (Cap. 622) commenced operation on 3 March last year to provide a modernized legal framework for the incorporation and operation of companies in Hong Kong and reinforce Hong Kong's role as an international financial and commercial centre.

Implementation of the new ordinance

Since the enactment of the new ordinance, the Companies Registry has undertaken preparatory work on various fronts with a view to achieving smooth transition for all concerned. The preparatory work includes:

- Issuing 16 external circulars and four guidelines to elaborate on specific aspects of the new ordinance;
- Specifying 83 forms for use under the new ordinance and nine forms for use under the Companies (Winding Up and Miscellaneous Provisions) Ordinance (Cap. 32);
- Revising all information pamphlets and guidance notes on application procedures to reflect new statutory requirements; and
- Organizing internal briefings and compiling internal guidelines and procedural notes to ensure that all Registry staff are fully equipped to carry out their new duties and handle enquiries under the new ordinance.

A comprehensive publicity campaign was launched to enhance public awareness of the implementation of the new ordinance and the major changes brought about by the new law. This includes:







- Setting up a dedicated thematic section on the Registry's website to provide briefing materials on the new ordinance and its subsidiary legislation. Other information provided includes highlights of key changes, answers to frequently asked questions and new forms;
- Sending circular letters and information pamphlets to over one million companies registered on the Companies Register;
- Answering more than 60,000 public enquiries on the new ordinance with the addition of a dedicated hotline; and
- Organizing or participating in more than 70 briefings and seminars to brief relevant stakeholders, including members of professional bodies, business organizations and the general public, on the major changes.

Transition to the new regime

Migration to the new regime has been smooth. This is best exemplified by the high usage rates of the newly specified forms. In the first week of implementation, more than 99 percent of companies used new forms for submitting incorporation applications. For other forms, a three-month transitional period was provided for the filing of new forms. By May 2014, over 80 percent of the statutory forms received by the Registry were in the new format. Upon the expiry of the transitional period in early June, the usage rate of new forms, out of a pool of more than 10,000 documents received daily, was close to 100 percent.

Achievement of the objectives

The main objectives of the new ordinance are to enhance corporate governance, facilitate business, ensure better regulation and modernize Hong Kong's company law. The following statistics, from 3 March to the end of December 2014, may best testify the achievement of the initiatives to facilitate business:

- Around 55 percent of the new companies incorporated electronically adopted the sample articles of association provided at the e-Registry (www.eregistry.gov.hk);
- 127 applications for restoration of companies to the Companies Register used the administrative restoration procedure, which represented about 44.4 percent of the total number of applications for company restoration;
- 92 out of 102 companies which reduced their capital used the alternative court-free procedure. This also represented a six-fold increase in the total number of companies, which have reduced their capital, from 14 in 2013; and
- 10 groups of companies have undergone amalgamation through the new court-free procedure.

Promoting good corporate governance has always been a priority for the HKSAR government. In World Bank's *Doing Business Report 2015*, Hong Kong is ranked the world's No. 3 in the ease of doing business. Most notably, our ranking in protecting mi-

nority investors is raised from third to second this year. The World Bank commends Hong Kong for strengthened minority investor protections by introducing requirements for directors to provide more detailed disclosure of conflicts of interest.

Given the new powers of the Registrar of Companies under the new ordinance, the Registry has set up a new Inspection Unit in its Enforcement Section to conduct checks and site visits of registered office addresses of companies. We have devoted more resources to step up enforcement efforts for non-filing offences. Recently, we have issued 83 summonses in a case against 11 related companies and their directors for failures to hold annual general meetings and lay accounts before AGMs.

Implementation issues

We have received enquiries from stakeholders on issues relating to the implementation of the new ordinance. The more notable ones, which relate to financial reporting, are highlighted below:

Accounting reference period and first financial year

Although the new ordinance commenced operation on 3 March 2014, many of the requirements in the new ordinance, for example, in relation to accounting records, simplified reporting and financial statements apply to a financial year that begins on or after commencement of the new ordinance.

A company's first financial year after the commencement of the new ordinance begins on the first day of its first accounting reference period and ends on the last day of that period. For an existing company, the first accounting reference period begins on the day immediately following its primary accounting reference date and ends on the first anniversary of that date.

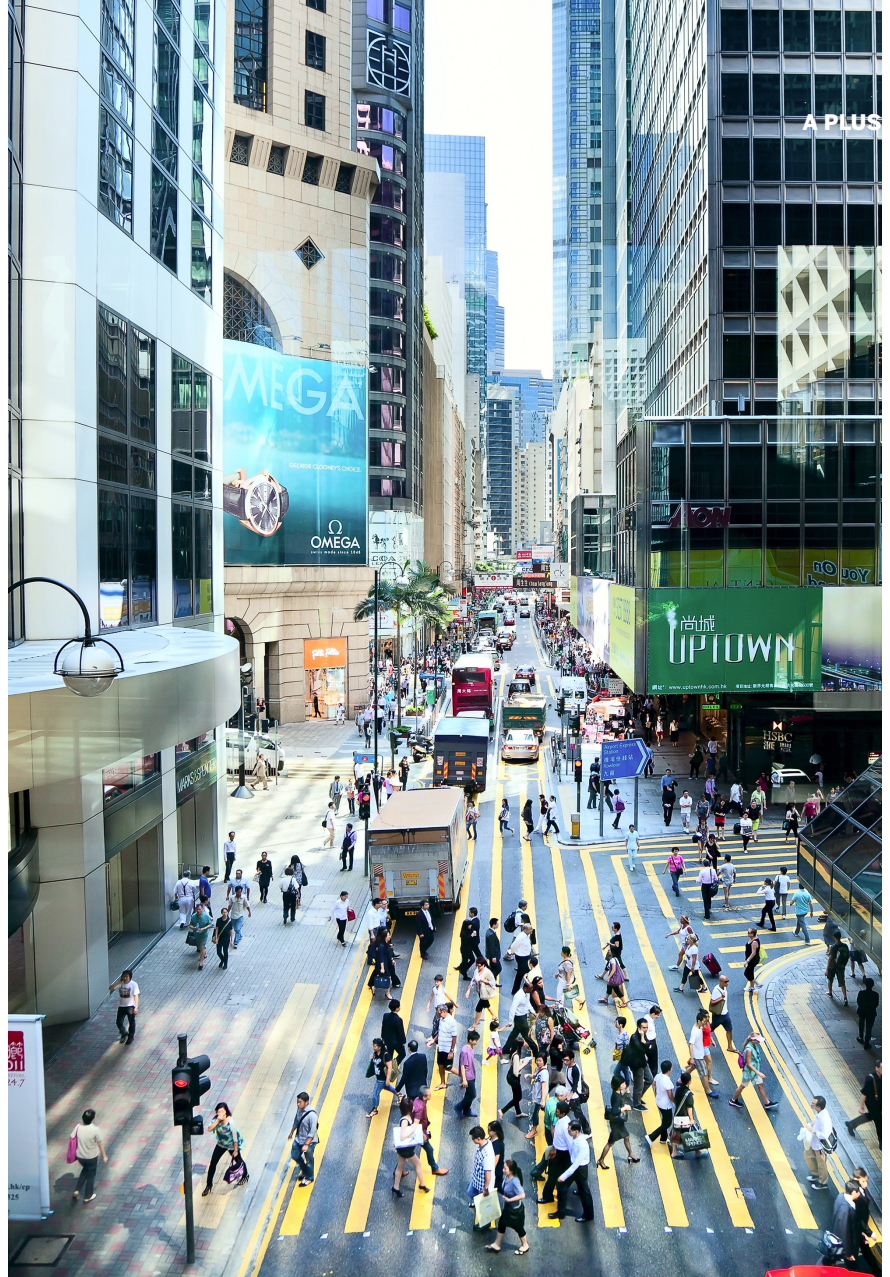
In determining the first financial year, the previous set of accounts of an existing company is relevant. If the accounts for the relevant financial year have not been prepared, nor laid nor provided to the members, there is a default provision under which the primary accounting reference date is determined.

Reporting exemption

The new ordinance allows companies that meet specified size criteria to prepare simplified financial statements and directors' reports. Larger companies within the specified eligibility limits may opt for simplified reporting. For existing companies, the amount of total revenue and total assets as reflected in the company's financial statements of its first financial year after the commencement of the new ordinance or the immediately preceding financial year are relevant in the determination of whether the qualification criteria are met.

Business review

The new ordinance requires public compa-



nies and companies not falling within the reporting exemption to prepare, as part of the directors' report, a more analytical and forward looking business review.

A private company that does not fall within the reporting exemption need not prepare a business review if it has members' approval of a special resolution passed by 75 percent of its members. The special resolution must be passed at least six months before the end of the financial year to which the directors' report relates.

Abolition of par value

The par value of shares and the related concept of share premium have been abolished under the new ordinance. A company's financial statements will need to reflect the change.

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Annual returns

Under the new ordinance, an annual return of a public company or a guarantee company must be delivered for registration, together with certified true copies of its financial statements, directors' report and auditor's report, within 42 days after its return date, i.e. six months (for public company) or nine months (for guarantee company) after the end of the company's accounting reference period.

For an existing public company or a guarantee company, the new requirements apply to the first financial year of the company under the new ordinance and subsequent financial years. For example, if a guarantee company's financial year ends on 31 March, its first annual return under the new ordinance must be delivered within 42 days after 31 December 2015.

Guarantee companies now form a separate category of companies and are generally treated in the same way as public companies. In particular, the late delivery of annual returns is subject to an escalating scale of annual registration fees.

Collaboration with the HKICPA

In connection with the implementation of the new ordinance, the Hong Kong Institute of CPAs has issued additional resource materials to provide guidance or assistance to the profession. We are pleased to contribute, from the perspective of the new ordinance, in the preparation of the relevant materials. These include guidance for the preparation and presentation of a business review, Q&A on directors' report and financial reporting issues, guidance on the requirements for section 436, guidance on section 408 and amendments to the *Code of Ethics for Professional Accountants* in reference to the new ordinance.

Way forward

Heralding the first anniversary of the new ordinance, the Registry launched a full scale electronic filing service to cover 84 specified forms for filing with the Registry.

The next legislative amendment that affects the new ordinance relates to the Securities and Futures and Companies Legislation (Uncertificated Securities Market Amendment) Bill 2014, which seeks to amend the new ordinance, among others, to facilitate the establishment and implementation of an uncertificated securities market regime in Hong Kong.



This article is contributed by the Companies Registry.